Question #1 of 20

Question ID: 1473978

With regards to convexity and gamma, which of the following statements are *most accurate*?

A) Convexity is a first order effect while gamma is a second order effect arising from changes in underlying risk factors to the change in value of the asset.

B) Convexity is a second order effect while gamma is a first order effect arising from changes in underlying risk factors to the change in value of the asset.

C) Both are second order effects value arising from changes in underlying risk factors to the change in value of the asset.

Question #2 of 20

Question ID: 1473964

A portfolio has a 5% monthly VaR of $2.5 million dollar. Which of the following is *most* accurate?

A) There is a 5% chance of losing $2.5 million every month.

B) There is a 5% chance of loss in portfolio value of at least $2.5 million in a month.

C) There is a 95% chance of losing $2.5 million in 5% of the months

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Question #3 of 20

Question ID: 1473976

Marginal Var is *least likely* to be:

A) conceptually similar to incremental VaR

B) change in VaR due to very small change in asset positon.

C) change in VaR due to change in probability.

Question #4 of 20

Question ID: 1473982

Which of the following risk measures are *most likely* to be used by a hedge fund?

A) Surplus at risk.

B) Glidepath.

C) Maximum drawdown.

Question #5 of 20

Question ID: 1473977

A fixed income portfolio manager utilizes duration as a risk measure for the portfolio. The portfolio manager is *most likely*:

A) using scenario analysis.

B) using sensitivity analysis.

C) using partial analysis.

Question #6 of 20

Question ID: 1473969

Which one of the following is NOT a limitation of VaR?

A) Incorporates only right tail risk.

B) VaR computed during periods of unusually low volatility may underestimate actual VaR.

C) VaR based risk limits may be inappropriate in trending markets

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Question #7 of 20

Question ID: 1473968

Delphia fund is a €100 million portfolio of euro zone equities. The expected daily return and standard deviation are 0.116% and 0.38% respectively. The 5% daily VaR is €511,000. Assuming 21 trading days per month, The 5% monthly VaR is *closest* to:

A) €3,801,000

B) €435,000

C) €829,446

Question #8 of 20

Question ID: 1473975

Conditional VaR is *most accurately* measured as:

A) Average VaR in the tails of the return distribution.

B) Average VaR given that losses to the extent of VaR has occurred.

C) Average VaR in the tails of the value distribution.

Question #9 of 20

Question ID: 1473967

Sophia fund is a €200 million portfolio of euro zone equities. The expected daily return and standard deviation are 0.179% and 0.22% respectively. The 5% daily VaR is *closest* to:

A) €37,400,000

B) €368,000

C) €82,000

Question #10 of 20

Question ID: 1473981

Which of the following risk measures are *most likely* to be used by a traditional asset manager?

A) Surplus at risk

B) Active share.

C) Maximum drawdown

Question #11 of 20

Question ID: 1473980

Which of the following is a limitation of scenario analysis?

A) Scenario analysis does not account for “fat tail” problem of the return distribution.

B) The relationship between portfolio value and the risk factors used may not be static.

C) Scenario analysis does not provide the probability of a specific scenario occurring.

Question #12 of 20

Question ID: 1473965

Assuming that the returns distribution of a portfolio is normal, using the parametric method of estimation of VaR needs which of the following inputs:

A) mean and standard deviation.

B) mean, standard deviation, and kurtosis.

C) mean, standard deviation and size of the lookback period.

Question #13 of 20

Question ID: 1473966

Which of the following is most accurately a limitation of the historical simulation method?

A) Estimates of mean and standard deviation may be inaccurate.

B) The behavior of returns over the lookback period may not accurately capture the future behavior.

C) The size of the lookback period may be too small.

Ryan Manning is a new hire at Luongo Asset Managers. As part of his training, he has been asked to compile a report on risk measurement and mechanisms to control risk.

Manning wants to give a simple illustration of VaR and has compiled the data for a two-asset portfolio as shown in Exhibit 1.

Exhibit 1:

Weighting	Asset	Daily standard deviation	Average daily return	Standard deviation of daily return
70%	Wszolek plc	0.0186	0.06%	1.54

30%	Sylla plc	0.0124	0.04%

Current market value of portfolio £7,500,000

Manning's colleague, Alex Smith, makes three comments about Manning's computation of VaR:

Comment 1:	"VaR is such a useful measure as it shows us the maximum potential loss on our portfolio position. Your data shows the maximum daily loss that could be incurred 5% of the days."
Comment 2:	"When using a parametric approach great care needs to be taken with the look-back period. The raw data should only really be used if the historic parameter estimates are similar to what we are expecting over the period for which we are estimating VaR."

Manning's report contains a discussion on the historical simulation method of estimating VaR. Manning states:

"The historical simulation approach to VaR is based on the actual periodic changes in risk factors over a look-back period. The daily change in value of the portfolio is calculated for each day over the look-back period. We then order the changes from most positive to most negative and look for the largest 5% of losses. The VaR is then the average of the 5% biggest losses. One advantage it has is that it doesn't use normal distributions and as a result can be used for portfolios containing options."

Manning's report contains three limitations of VaR:

Limitation 1:	If VaR is calculated under the assumption of normal distributions of asset returns, it will often underestimate the severity of losses. One cause of this is platykurtic return distributions.
Limitation 2:	During periods of financial distress asset correlations will often increase. This means that computing VaR based on historical correlations observed over a look-back period might well overestimate the benefits of diversification and as a result underestimate the magnitude of potential losses.
Limitation 3:	VaR computation does not account for the liquidity of assets in its calculation. When asset prices fall dramatically, liquidity often dissipates significantly as was seen with asset-backed securities during the credit crunch of 2008–2009. This has means that VaR will underestimate the true losses of liquidating positions that are under extreme price pressure.

Question #14 - 17 of 20

Question ID: 1478227

Which of the following is *closest* to 5% daily VaR for the data included in Exhibit 1?

A) £126,000.

B) £156,000.

C) £186,000.

Question #15 - 17 of 20

Question ID: 1473972

Which of the following is *most* accurate about Smith's comments?

A) Only comment 1 is correct.

B) Only comment 2 is correct.

C) Both comments are incorrect.

Question #16 - 17 of 20

Question ID: 1473973

Manning's paragraph detailing the historic simulation method is:

A) correct.

B) incorrect about VaR calculation.

C) incorrect regarding the application to portfolios containing options.

Question #17 - 17 of 20

Question ID: 1473974

How many of Manning's limitations of VaR are incorrect?

A) 1 limitation.

B) 2 limitations.

C) 3 limitations.

Question #18 of 20

Question ID: 1473984

A firm's economic capital is *most accurately* described as:

A) fair value of plan assets less fair value of liabilities.

B) capital needed to overcome severe losses in the business.

C) assets minus VaR.

Question #19 of 20

Question ID: 1473979

Which of the following approaches to conducting scenario analysis on a portfolio of stock options is *most accurate*?

A) Evaluate the impact on the portfolio owing to changes in delta.

B) Evaluate the impact on the portfolio owning to changes in volatility.

C) Value the portfolio based on the parameters identified in the scenario.

Question #20 of 20

Question ID: 1473983

Which of the following is *most likely* an example of a stop loss limit?

A) Maximum tracking error of 3%.

B) Liquidate the portfolio if the portfolio value falls below $100 million.

C) Maximum daily VaR of $1.5 million.